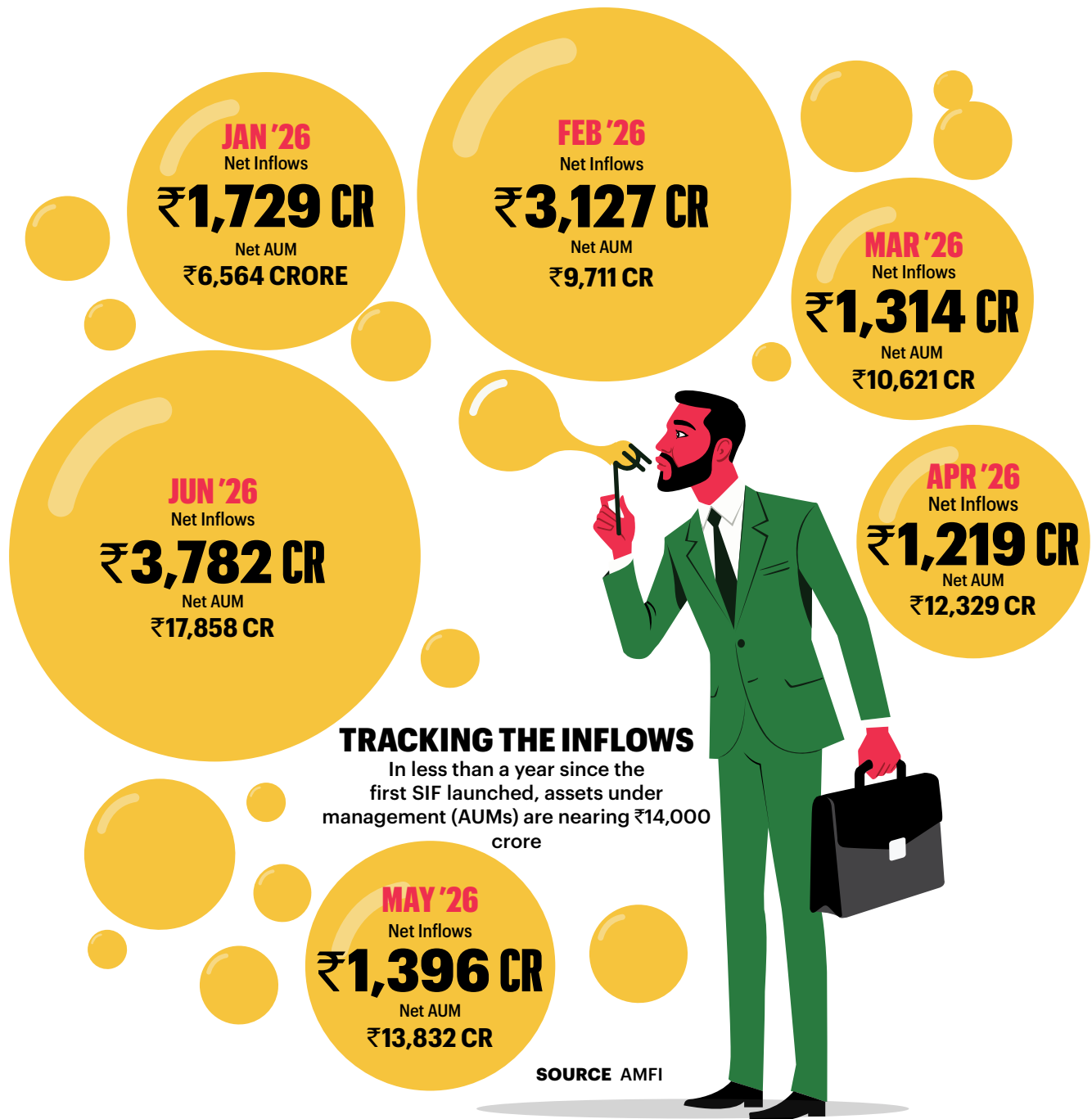




| 53

ILLUSTRATIONS BY RAJ VERMA

HNIs rather than investors diversifying away from mutual funds.

Sebi has laid down strict eligibility criteria for launching SIFs. A mutual fund can launch an SIF only if it has been in operation for at least three years and has maintained an average AUM of at least ₹10,000 crore over the preceding three years. Alternatively, fund houses can qualify by appointing a chief investment officer and an additional fund manager meeting Sebi's eligibility criteria.

THE ADVANTAGES

SIFs have several things going for them. They follow the same expense structure as mutual funds. The taxation structure is also similar, so investors are taxed only when they redeem their units. If redeemed after one year, long-term capital gains are taxed at 12.5%. This is an advantage over PMS, where investors are taxed whenever the fund manager executes a trade. PMS and AIFs also often charge performance fees.

“On the one hand, investors have been looking for